**BUSINESS STRATEGY**

Suggested Answers
November-December 2023

**Answer to the Question# 1(a):**

MEA appears to be following a strategy of **Cost Leadership** within Porter's Generic Strategies. The company initially started with low-cost electric lights and later expanded its product range to household electrical appliances, maintaining a reputation for providing good value as basic, low-priced products. The focus on tight budgets, cost control programs, and judging divisional performance against detailed budget targets suggests an emphasis on cost efficiency.

**Competitive Advantage:** This cost leadership strategy allows MEA to offer products at lower prices than competitors, potentially attracting a wide customer base. The focus on cost control and efficiency may result in higher profit margins and the ability to withstand price competition.

b) **Strategic Risk:**

The strategic risk for MEA lies in the external environment, particularly in the face of cheaper imports undercutting its products. In the recent difficult trading conditions, falling profits, and a drop in share prices, MEA is confronted with the challenge of maintaining cost leadership in the presence of lower-priced imports. If the company fails to address this external threat, it may struggle to compete effectively on cost and could lose market share.

c) **Centralization and Decentralization Policy:**

**Advantages:**

1. **Cost Control:** Centralization allows for tight budgetary control and cost management by the group head office.
2. **Operational Efficiency:** Centralized functions like marketing, R&D, and administration can achieve economies of scale and operational efficiency.
3. **Strategic Control:** Centralization initially provided the group head office with close operational and financial control over divisions.

**Disadvantages:**

1. **Slow Decision-Making:** The chairman argues that centralization is too slow and inhibits quick adaptation to changes in technology and market conditions.
2. **Poor Relationship:** There was tension and a poor relationship between divisional heads and group head office management in the centralized structure.
3. **Lack of Adaptability:** The centralized structure may hinder adaptability to market changes and technological advancements.
4. **Redundancies:** The move to decentralization resulted in significant redundancies in the head office due to divisions making fewer purchases centrally.

5. **Strategic Errors:** Divisional heads, unfamiliar with strategic decision-making, made strategic errors, and the board was reluctant to intervene.

In summary, while centralization can provide cost control and strategic oversight, it may lead to slow decision-making and strained relationships. Decentralization can enhance adaptability but may result in redundancies, lack of coordination, and strategic errors if not managed effectively. MEA seems to be struggling with finding the right balance in its transition from a centralized to a decentralized structure.

**Answer to the Question# 2:**

**Memorandum**

| | |
|---|---|
| To | Company Directors, Jogajog Ltd |
| From | Management Consultant |
| Date | Today |
| Subject | Future corporate strategic options |

**(a): Current position**

The company is technologically sound with an established clientele and reputation for quality. This is mainly the result of the background in electronics of the two directors.

The company has established a strong foothold in the market and is exceptionally profitable. However, this has in the past been achieved with innovative research.

The rapid growth of the mobile phone market has stimulated the emergence of competitive firms wishing to take advantage of this opportunity.

The future for the company looks very doubtful should the directors fail to perceive the need to identify and adopt a suitable strategy for growth and self-preservation in the light of the threat from emerging competition and technology from Japan.

There appears to be no effective communication network in existence and no management structure. There is no financial director and no marketing or selling expertise within the firm.

The firm is a classic example of insufficient breadth of management skills. This is often seen in companies where the founder is the current managing director and where there has been rapid growth due almost entirely to technical excellence.

The management structure has failed to develop to accommodate the increased size and complexity of the business. Strengthening the management team is now a priority. Professional help is urgently required in the fields of finance and marketing. Both directors will need to accept that such professional managers must be free to make their own decisions in those fields where they are the experts, without interference from existing directors. If they are continually overruled or not consulted they will leave of their own volition.

**(b): Strategic options**

**Financing**

The latest balance sheet shows that Jogajog Ltd has a serious liquidity problem pending, as it has a bank loan of BDT 0.5m due to be repaid in twelve months' time.

However, the firm does have security in the form of non-current assets and should have little difficulty in re-negotiating another loan.

The current level of gearing is not high and, provided the company is successful in developing a competitive form of technology to meet the threat from Japan, profit prospects for the future are encouraging.

At the moment the firm's current ratio looks weak at 1,500:1,600 (treating the BDT O.5m bank loan as a current liability) but this will fall to 1,000:1,600 once the loan is re-negotiated.

It may be necessary to examine more closely the inventory control procedures in force at the firm as the current inventory figure seems to be excessively high.

**R&D**

It is suggested that the research into new technology be continued and that suitable expert technicians and scientists be recruited by the firm to assist Shawon in his development work. A failure to do so will result in the company becoming uncompetitive with an outdated range of products.

If the company therefore is to grow and sustain profits in the future, it will need to update and develop its own range of products. The firm is in a healthy position in this aspect in that it already manufactures most of the components required by its products, has very little reliance on outside suppliers and has the expertise to move forward and develop the required technology.

The existing production and research methods appear to have operated successfully in the past, although it is clear that Shawon requires more assistance.

**Personnel**

In addition to recruiting suitable management expertise in the financial and marketing/selling fields, along with telecommunications technicians and scientists, it is recommended that Mr Ahmed become chairman of the company and be prepared to relinquish the day-to-day management of the company.

**Systems**

A comprehensive accounting system providing financial information for the management team, probably on a monthly basis, needs to be installed.
A review of the accounting records and procedures should also be carried out.

**Products/markets**

Opportunities exist in the form of product development and product diversification. The individual private customer market looks relatively untapped, and a programme of market research to determine customer needs and demands should be carried out if this opportunity is to be exploited.

At the moment too much reliance is being placed on the public sector; a complete review of budgeted future demand for products from this market sector needs to be carried out. In particular, the consequences of privatization need to be considered. With the adoption of the correct marketing and product development this threat could be turned into a fresh opportunity for further market expansion.

**(c): Recommendations**

- The existing managing director, Mr Masud Ahmed, to become chairman.
- A new managing director, marketing director, finance director and personnel director to be recruited forthwith and allowed to manage their respective fields without hindrance from above.
- A small team of technicians/communications experts to be recruited to assist Shawon in his R&D activities.
- Research into the required new technology to be expanded and financed with a medium/long-term secured debt.
- A complete overhaul of inventory control procedures to be enacted with a view to reducing inventory levels and improving cash flows.
- Negotiate new medium/long-term debt in the region of BDT 1.5m – BDT 2m.

**Answer to the Question# 3(a):**

Despite steady economic growth in the country over the past decade, foreign direct investment (FDI) has been comparatively low in Bangladesh compared to regional peers. Bangladesh suffers from a negative image: the country is seen as being extremely poor, under-developed, subject to devastating natural disasters and socio-political instability. However, the country has the advantage of being in a strategic geographical position between South and Southeast Asia.

In addition, its domestic consumption potential and the wealth of its natural resources make the country a good candidate for investment. The government promotes private sector-led growth, foreign currency is abundant due to remittances, and the central bank respects the transferability of foreign currency.

A number of more developed Asian countries have outsourced their factory production, mainly textile, to the country. Moreover, in 2020, the government simplified a set of laws as part of its efforts to reduce barriers to foreign investment.

The outlook for global FDI in 2023 appears weak, with a significant number of economies around the world expected to enter a recession. Negative or slow growth in many economies, further deteriorating financing conditions, investor uncertainty in the face of multiple crises and, especially in developing countries, increasing risks associated with debt levels will put significant downward pressure on FDI (**UNCTAD Global Investment Trends Monitor, January 2023**). The negative trend reflects a shift in investor sentiment due to the food, fuel and finance crises around the world, the Ukraine war, rising inflation and interest rates, and fears of a coming recession.

According to the UNCTAD's **2022 World Investment Report**, FDI inflows to Bangladesh increased by 12.9% to USD 2.89 billion in 2021 (compared to USD 2.56 billion in 2020). The total stock of FDI was estimated at 21.58 billion USD in 2021 by UNCTAD. In Bangladesh, FDI inflows will take a long time to recover as investment commitments in this country have remained weak. For instance, Greenfield investment projects announced in 2020, an indication of FDI trends in the coming years, has contracted significantly by -87 per cent in Bangladesh. This decline is driven by weak investment interest in garment production, one of the major export industries and recipients of FDI in these countries. Investment and garment production struggled badly in 2020, with no sign of recovery in early 2021. Garment factories in Bangladesh had to deal with about USD 3 billion of cancelled export orders in 2020. Notwithstanding, the export-oriented clothing industry is still an important recipient of FDI, with major investors from the Republic of Korea, Hong Kong and China. Central Banks data shows that the textile sector was the biggest gross FDI recipient, netting 1.166 billion USD in 2021, with an annual growth of around 81%.

**Answer to the Question# 3(b):**

**Strong Points to investment in Bangladesh:**

- Good macroeconomic stability characterised by a high growth rate of 8.2% in 2019 and 3.8% in 2020 (IMF) as well as a satisfactory level of the public debt of 39.6% in 2020 (IMF)
- An open and diverse economy
- High demographic dividend
- A very low-cost workforce
- A strategic geographic position as a gateway to countries in the Asia-Pacific region
- A strategic and competitive position in the value chain of the global economy
- An economic and legislative environment globally favourable to business
- Favourable biodiversity and weather conditions

**However, there are few negative points to attract investment:**

- High cost of doing business
- A business environment complicated by the country's weak infrastructure, burdensome bureaucracy, high risk of corruption, lack of transparency and the slow pace of the judicial system
- Fragile political stability threatened by recurrent social movements;
- Weakness of the financial sector
- Vulnerability to natural disasters (cyclones, severe floods) that result in substantial income losses
- An economy dependent on the garment industry and characterised by a weak per capita income

**Answer to the Question# 3(c):**

**Government initiatives to foster FDI:**

Government has set up 10 EPZ where it is encouraged foreign investment, Government has also planned to set up 100 economic zones throughout the country. Out of these few are at the completion stage. At least 29 industrial units have begun their production in some of the country's economic zones, and another 61 units are scheduled to go into production. The investors have come from countries such as Japan, China, India, Australia, the Netherlands, the US, the UK, Germany, Singapore, South Korea and Norway. However, the government plans to establish about 100 economic zones across the country (Dhaka Tribune, October 2022)

**Government Measures to Motivate or Restrict FDI**

The Bangladesh government is actively seeking to attract foreign investment, particularly in the areas of energy and infrastructure.

Many incentives have been implemented through industrial policy, growth strategy through exports and a public-private partnership (PPP) program launched in 2009.

Although there is little discrimination against foreign investors, the government often favours local industries. For example, the importation of drugs that compete with locally manufactured pharmaceuticals is tightly controlled, and local majority ownership in new shipping companies is required.

In order to mitigate the risks of being too dependent on industrial production in the textile sector (over 86% of Bangladesh's exports earnings come from textiles according to Bangladesh Textile Mills Association's latest data available), the government is seeking to develop certain sectors by granting companies involved in these areas with incentives and favourable conditions. These include agricultural and agro-industrial products, light engineering, leather footwear and leather goods, pharmaceuticals, software and ICT products, as well as shipbuilding.

In recent years, the government has also launched numerous infrastructure projects: the project to build a road and rail bridge over the Padma River and the Dhaka metro, for example.

**Answer to the Question# 3(d):**

## Sourcing Strategies of Grameen Pitha Ltd:

1. **Aluminium Foil Case:**
    - **Strategy:** Single-sourcing from a single supplier of metal-related products.
    - **Effectiveness:** While single-sourcing may provide stability, it leaves the company vulnerable to potential disruptions from the sole supplier. The fall in demand for aluminium-related products in the industry could further amplify this risk.
2. **Pastry Shell (Flour):**
    - **Strategy:** Multiple-sourcing from flour millers in four different districts due to harvest time variations.
    - **Effectiveness:** This strategy mitigates the risk associated with a single source. However, it introduces complexity in managing relationships with multiple suppliers, and there might be challenges in maintaining consistent quality across different districts.
3. **Meat and Vegetable Filling:**
    - **Strategy:** Delegated sourcing to a specialist third party.
    - **Effectiveness:** This strategy is effective in streamlining the sourcing process, achieving cost savings, and leveraging the expertise of a third party. However, there might be concerns related to transparency in the supply chain, and the need for effective communication to ensure the quality standards are met.
4. **Thin Plastic Wrapping:**
    - **Strategy:** Direct sourcing from the manufacturer or through an Internet site specializing in surplus wrapping.
    - **Effectiveness:** This strategy provides flexibility and cost-saving opportunities. However, sourcing surplus wrapping may introduce variability in the quality, and the reliance on an Internet site may pose challenges in ensuring timely and consistent supply.

**Evaluation:**

- **Diversification:** Grameen Pitha Ltd has wisely diversified its sourcing strategies across different elements of the product. However, the company should reevaluate the risk associated with single-sourcing the aluminium foil case.
- **Supply Chain Transparency:** The company's decision to delegate the sourcing of meat and vegetables to a third party is beneficial for cost savings, but it is crucial to ensure transparency and maintain stringent quality standards.
- **Harvest Timing:** While multiple-sourcing for flour addresses harvest time variations, the company should continuously monitor and assess the performance of suppliers in different districts to ensure consistent quality.

**Recommendations:**

1. **Aluminium Sourcing:** Consider diversifying aluminium sourcing to mitigate the risk associated with a single supplier. This could involve identifying alternative suppliers or exploring options for using alternative materials.
2. **Quality Assurance:** Implement robust quality assurance and monitoring mechanisms, especially for flour sourced from multiple districts. Regular audits and supplier assessments can help maintain consistent quality standards.
3. **Supply Chain Visibility:** Enhance visibility and transparency in the supply chain, particularly for meat and vegetable sourcing through the third party. Establish clear communication channels and performance metrics to ensure quality and reliability.
4. **Alternative Suppliers:** Explore alternative suppliers for plastic wrapping to reduce reliance on surplus sources. Evaluate the feasibility of establishing direct relationships with manufacturers for a more reliable and consistent supply.

By addressing these recommendations, Grameen Pitha Ltd can further strengthen its sourcing strategies, ensuring a constant and high-quality supply of inputs for its diverse product range.

**Answer to the Question# 4(a):**

**Advantages of the acquisition**

Book Syndicate Ltd. and Karim Brothers Ltd. appear to be a good strategic fit for a number of reasons. Book Syndicate Ltd. appears to have limited potential for further growth. Acquiring Karim Brothers Ltd., a company with better recent growth, should hopefully give Book Syndicate Ltd. the impetus to grow more quickly.

Acquiring a company which has a specialism in the area of online testing will give Book Syndicate Ltd. capabilities quicker than developing this function in-house. If Book Syndicate Ltd. does not move quickly, it risks losing contracts to its competitors.

Acquiring Karim Brothers Ltd. will give Book Syndicate Ltd. access to the abilities of some of the directors who have led Karim Brothers Ltd. to becoming a successful company. They will provide continuity and hopefully will help integrate Karim Brothers Ltd.'s operations successfully into Book Syndicate Ltd. They may be able to lead the upgrading of Karim Brothers Ltd.'s existing products or the development of new products which ensures that Book Syndicate Ltd. retains a competitive advantage.

It appears that Karim Brothers Ltd.'s directors now want to either realise their investment or be part of a larger company, possibly because it will have more resources to back further product development. If Book Syndicate Ltd. does not pursue this opportunity, one of Book Syndicate Ltd.'s competitors may purchase Karim Brothers Ltd. and acquire a competitive advantage itself.

There may also be other synergistic benefits, including savings in staff costs and other savings, when the two companies merge.

**Disadvantages of the acquisition**

It is not known what the costs of developing in-house capabilities will be. Although the process may be slower, the costs may be less and the process less disruptive to Book Syndicate Ltd. than suddenly adding on Karim Brothers Ltd.'s operations.

It is not possible to tell which of Karim Brothers Ltd.'s directors are primarily responsible for its success. Loss of the three directors may well represent a significant loss of its capability. This will be enhanced if the three directors join a competitor of Book Syndicate Ltd. or set up in competition themselves.

There is no guarantee that the directors who remain will fit into Book Syndicate Ltd.'s culture. They are used to working in a less formal environment and may resent having Book Syndicate Ltd.'s way of operating imposed upon them. This could result in departures after the acquisition, jeopardising the value which Karim Brothers Ltd. has brought.

Possibly Karim Brothers Ltd.'s leadership in the online testing market may not last. If competitors do introduce major advances, this could mean that Karim Brothers Ltd.'s current growth is not sustainable.

**Answer to the Question# 4(b):**

**Funding of bid**
No extra finance will be required if all Karim Brothers Ltd.'s shareholders take up the share offer.

**All Karim Brothers Ltd.'s shareholders take up cash offer**

Cash required = 90 million × Tk.22.75 = Tk.2,048m
Extra debt finance required = Tk.2,048m – Tk.220m – Tk.64m = Tk.1,764m
60% share-for-share offer, 40% cash offer
Cash required = 40% × 90m × Tk.22.75 = Tk.819m
Extra debt finance required = Tk.819m – Tk.220m – Tk.64m = Tk.535m

**Impact of bid on EPS**

Book Syndicate Ltd.'s EPS prior to acquisition = Tk.296m/340 = Tk.0.87

**All Karim Brothers Ltd.'s shareholders take up share offer**
Number of shares after acquisition = 340m + (90m × 2) = 520m
EPS after acquisition = (Tk.296m + Tk.128m + Tk.20m)/520m = Tk.0.85

**All Karim Brothers Ltd.'s shareholders take up cash offer**

Number of shares after acquisition = 340m
EPS after acquisition = (Tk.296m + Tk.128m + Tk.20m – Tk.11.36m – Tk.105.84m)/340m =Tk.0.96
Tk.105.84m is the post-tax finance cost on the additional loan finding required of Tk.1,764m.
Therefore Tk.1,764m × 7.5% × 80% = Tk.105.84m
Tk.11.36m is the post-tax opportunity cost of interest foregone on the cash and cash equivalents surpluses of the two companies of Tk.220m + Tk.64m = Tk.284m.
Therefore, Tk.284m × 5% × 80% = Tk.11.36m

**60% share-for-share offer, 40% cash offer**

Number of shares after acquisition 340m + (90m × 2 × 0.6) = 448m
EPS after acquisition = (Tk.296m + Tk.128m + Tk.20m – Tk.11.36m – Tk.32.1m)/448m = Tk.0.89
Tk.32.1m is the post-tax finance cost on the additional loan funding required of Tk.535m.
Therefore Tk.535m × 7.5% × 80% = Tk.32.1 m

**Impact of bid on gearing (using market values)**

Book Syndicate Ltd.'s gearing (debt/(debt + equity)) prior to bid = 540/(540 + (340 × 12.19)) =11.5%

**All Karim Brothers Ltd.'s shareholders take up share offer**

Debt/(Debt + equity) after bid = (540 + 193)/(540 + 193 + (520 × Tk.0.85 × 14)) = 10.6%

**All Karim Brothers Ltd.'s shareholders take up cash offer**

Debt/(Debt + equity) after anticipated bid
= (540 + 193 + 1,764)/(540 + 193 + 1,764 + (340 × Tk.0.96 × 14)) = 35.3%

**60% share-for-share offer, 40% cash offer**

Debt/(Debt + equity) after bid
= (540 + 193 + 535)/(540 + 193 + 535 + (448 × Tk.0.89 × 14)) = 18.5%

**Comments**

The calculations suggest that if Karim Brothers Ltd.'s shares are acquired on a share-for-share exchange on the terms required by its shareholders, Book Syndicate Ltd.'s shareholders will suffer a fall in earnings per share attributable to them from Tk.0.87 to Tk.0.85. This is because Karim Brothers Ltd. is being bought on a higher price-earnings ratio than Book Syndicate Ltd. and the synergies arising from the acquisition are insufficient to compensate for this.

Use of loan finance to back a cash offer will attract tax relief on interest. The cost of debt will be lower than the cost of equity. Issuing extra shares will lead to a dilution of the power of Book Syndicate Ltd.'s existing shareholders. If all of Karim Brothers Ltd.'s shareholders take up the share-for-share offer, they will hold around a third of the shares of the combined company (180m/520m) and this may be unacceptable to Book Syndicate Ltd.'s shareholders.

The benefits which Karim Brothers Ltd.'s shareholders will gain will be fixed if they take up a cash offer and do not acquire shares in the combined company. If there are significant gains after the acquisition, these will mostly accrue to Book Syndicate Ltd.'s existing shareholders if a significant proportion of Karim Brothers Ltd.'s shareholders have taken a cash offer.

If the forecast for take up of the offer is correct, even by combining the cash flows of the two companies, the new company will have insufficient funds to be able to pay all the shareholders who are expected to take up the cash offer. Further finance will be required.

The alternative to loan finance is financing the bid by issuing shares. Depending on the method used, this may also result in dilution of existing shareholders' ownership and also there is no guarantee that the issue will be successful.

There is also no guarantee that the forecast of 40% of the shareholders taking up the cash offer is correct. If all five of the major shareholders decide to realise their investment rather than just two, this will increase the cash required by Tk.512 million (25% × Tk.22.75 × 90m), for example.

Gearing will increase if loan finance is needed to finance the cash offer. If the mixed share and cash offer is taken up in the proportions stated, the gearing level of the combined company will increase from 11.5% to 18.5%. Current shareholders may not be particularly concerned about this. However, if all or most of the share capital is

bought for cash, the gearing level of the combined company will be significantly greater, at maximum 35.3%, than Book Syndicate Ltd.'s current gearing. This may be unacceptable to current shareholders and could mean an increase in the cost of equity, because of the increased risk, and also possibly an increase in the cost of debt, assuming in any case that debt finance at the maximum level required will be available. To guard against this risk, Book Syndicate Ltd.'s board may want to limit the cash offer to a certain percentage of share value.

**Answer to the Question# 5(a):**

**Financial performance of CESCO:**

The financial statements of CESCO has depicted a very critical position.

The vast differential for the listed company is due to the depreciation of the taka against the dollar and for selling power at prices below the production cost.

The depreciation of the taka accounted for Taka 4.28 billion of the total loss while selling at a discount led to losses of Taka 1.13 billion.

Despite taking huge losses, the company will still pay dividends of Taka 1 per share to shareholders for a total of approximately Taka 397.57 million.

The funds will come from the company's reserves of Taka 22.21 billion. From July 2022 to June 2023, the company has reported losses of Taka 13.61 per share. The company has a total paid-up capital of Taka 397.57 million.

The entirety of the loss came in the nine months from October last year to June this year. From July to October last year, the company made a profit of Taka 0.29 per share, or over Taka 115 million. Then, from October to December, each share led to losses of Taka 0.08, or Taka 31.8 million.

As a result, until December last year, the company was still earning a profit. From January to March this year, the company made losses of Taka 1.45 billion before it ballooned to losses of Taka 4.04 billion from April to June.

In this financial year, the Power Development Board raised the wholesale price of electricity by 28 per cent. But CESCO only raised the retail price by 15 per cent. The price difference has led to losses."

But the lion's share of losses came from the depreciation of the taka; the loans taken from foreign countries must be paid in dollars. As the price of the dollar has gone up, so has the cost of repaying our debts. We earn in taka and pay our debt in dollars. That creates a difference."

"When we took out the loan, the exchange rate was Taka 82 to one dollar. Now, one dollar goes for Taka 109 – 110. An additional Taka 4.28 billion was spent just because of this."

**Answer to the Question# 5(b):**

**Causes of financial crisis:**

Until last financial year CSECO has a reasonable amount of profit. But in this year they incurred huge loss due to four reasons:

One: increased purchase price of electricity from the power supplier

Two: Could not adjust the selling price to the customers due to government policy

Three: Exchange rate fluctuation. Dollar price has increased to taka 109 from Taka 82 last year. This has affected the loan payment including interest.

Four: Payment of dividend in spite of losses.

**Answer to the Question# 5(c):**

**Determinants of Exchange Rates/ causes for increasing dollar price**

Numerous factors determine exchange rates. Many of these factors are related to the trading relationship between the two countries. Exchange rates are relative, and are expressed as a comparison of the currencies of two countries. The following are some of the principal determinants of the exchange rate between two countries. Note that these factors are in no particular order; like many aspects of economics, the relative importance of these factors is subject to much debate.

**Differentials in Inflation**

Typically, a country with a consistently lower inflation rate exhibits a rising currency value, as its purchasing power increases relative to other currencies. During the last half of the 20th century, the countries with low

inflation included Japan, Germany, and Switzerland, while the U.S. and Canada achieved low inflation only later.1 Those countries with higher inflation typically see depreciation in their currency about the currencies of their trading partners. This is also usually accompanied by higher interest rates.

**Differentials in Interest Rates**
Interest rates, inflation, and exchange rates are all highly correlated. By manipulating interest rates, central banks exert influence over both inflation and exchange rates, and changing interest rates impact inflation and currency values. Higher interest rates offer lenders in an economy a higher return relative to other countries. Therefore, higher interest rates attract foreign capital and cause the exchange rate to rise.

**Current Account Deficits**
The current account is the balance of trade between a country and its trading partners, reflecting all payments between countries for goods, services, interest, and dividends. A deficit in the current account shows the country is spending more on foreign trade than it is earning, and that it is borrowing capital from foreign sources to make up the deficit.

**Terms of Trade**
A ratio comparing export prices to import prices, the terms of trade is related to current accounts and the balance of payments. If the price of a country's exports rises by a greater rate than that of its imports, its terms of trade have favorably improved. Increasing terms of trade shows' greater demand for the country's exports. This, in turn, results in rising revenues from exports, which provides increased demand for the country's currency (and an increase in the currency's value). If the price of exports rises by a smaller rate than that of its imports, the currency's value will decrease in relation to its trading partners.

**Strong Economic Performance**
Foreign investors inevitably seek out stable countries with strong economic performance in which to invest their capital. A country with such positive attributes will draw investment funds away from other countries perceived to have more political and economic risk. Political turmoil, for example, can cause a loss of confidence in a currency and a movement of capital to the currencies of more stable countries.

**Answer to the Question# 5(d):**

**Measures:**
A suitable foreign exchange policy to be introduced. The exchange rate of the currency in which a portfolio holds the bulk of its investments determines that portfolio's real return. A declining exchange rate obviously decreases the purchasing power of income and capital gains derived from any returns. Moreover, the exchange rate influences other income factors such as interest rates, inflation, and even capital gains from domestic securities. While exchange rates are determined by numerous complex factors that often leave even the most experienced economists flummoxed, investors should still have some understanding of how currency values and exchange rates play an important role in the rate of return on their investments. Few steps:

- Balance of payment position to be improved by increasing export and reducing luxury imports.
- Encouraged to attract foreign investments and necessary facilities to the foreign investors.
- Encourage foreign remittance through legal channels, banks.
- Stock exchange to be revamped for investment for the foreigners.
- The dollar exchange rate should be open for market demand supply basis and open in the market.

**Answer to the Question# 6(a):**

**Type of Strategic Change**
Johnson, Scholes and Whittington (JSW) make use of a model developed by Balogun and Hope Hailey, which identifies four types of change based on two key measures of change. Firstly, the nature of change - how big is it? Incremental or 'step-by-step' change does not challenge the existing way of doing things and may indeed reinforce the organisation's processes and culture. It is therefore likely to meet less resistance than Big Bang or quantum change, which represents significant change to most or all the organisation. Often this Big Bang change is necessary to respond to a crisis facing the firm, such as a major fall in profitability, and/or the appointment of a new chief executive.

Secondly, the scope of change process is important - how much of the firm's activities are to be changed? If the change does not alter the basic business model (or 'paradigm' in JSW's terms) then it is regarded as 'a

realignment of strategy rather than a fundamental change in strategic direction' (JSW). However, if the proposed change is a radical challenge to the existing business model or paradigm then it is regarded as a transformational change.

The consideration of the two key measures of change enables the identification of four types of change:

| | Scope of change | |
|---|---|---|
| Nature of change | Realignment | Transformation |
| Incremental | Adaptation | Evolution |
| Big Bang | Reconstruction | Revolution |

It appears that Star Hotel's attempt to enter the pop up market represents an adaptation. Adaptation is a change that can be made within the current business model (realignment) and it occurs incrementally. JSW argue this is the most common form of change in organisations.

It is incremental because it will build on the existing skills, routines and beliefs of those in the organisation. There may be some changed processes, but these are likely to be small in nature. Star Hotel is seeking to realign itself with the social changes that are happening in the market and take part in an emerging opportunity. There is unlikely to be a need for a complete business transformation as Star Hotel continues to perform well despite increased market competition and a downturn in the economy. There will be no need for a radical redesign of the business model and, ideally, the pop ups should look and feel exactly like the product and service provided at the permanent locations.

**Answer to the Question# 6(b):**

**Reasons for the project failure**

A useful model for explaining the failures in the system is the POPIT model. The POPIT model provides four views of a business system that must be considered for the successful implementation of business change.

These elements must work together and be aligned for successful change to be realised. A failure in one area can lead to a failure across the entire business system. The areas to be considered are as follows:

**Processes** must be well defined, efficient, documented and understood. Star Hotel appears to have done this. Alisha Farzana appears to have sought efficiency in areas such as venue location, food production, material supplies, etc. The lessons learnt review appears to highlight that these areas have worked well in the project.

**Information Technology** needs to support the changes that are taking place within the system. It needs to provide the relevant information at the point that it is needed. Elise Hazelwood's previous IT experience appears to have helped here. The IT system worked well and controls were considered to ensure that risks were reduced.

There was some attempt made on the organisation for success. Project team staff were appointed as managers at the pop ups and arrangements were put in place for the secondment of staff. But this could have been much better organized. Job roles were unclear, visitors observed disorganised service and staff apprared to be unaware of potential secondments to the pop ups. This is related to the final view on the business system - its people.

**People** in the organisation need to have the right skills and motivation to carry out the tasks. This is an area that Alisha Farzana appears to have ignored almost entirely. She has put managers in place at the pop up but has not really considered the people that they will be managing. There is evidence of poor motivation in the poor service provided to customers and some of that may be down to a lack of consideration of job design. Seconding staff into into pop ups without prior notice or explanation needs to be better planned and organized. There also appears to be evidence of lack of **staff training**. Service was slower than usual and staff complained of spending too much time learning new, temporary process. Staff development process is poor.
These are the problems that can be rectified for future pop ups.

---The End---